

THE JUMP AHEAD OPPORTUNITY ZONE Fund, LP

Offering project ready Opportunity Zone investments in premium, undiscovered and underserved OZ markets to investors.

I. Executive Summary

Executive Summary



What are Opportunity Zones?

- Passed by Congress in the Tax Cuts and Jobs Act (TCJA) in December 2017, the program establishes a mechanism that enables investors with capital gains tax liabilities across the country to receive favorable tax treatment for investing in Opportunity Zones.
- Qualified Opportunity Zones were nominated by the Governors of each state and approved by the US Department of the Treasury in April, 2018. Designations as a qualified opportunity zone will be valid until the year 2028.

Why Opportunity Zones?

Investment Length

Fewer than 5 Years

5 to 7 Years

7 to 10 Years

Greater than 10 Years

Benefit Received

Deferred Payment of existing capital gains until the Opportunity Zone Investment is sold or exchanged

Deferred payment of existing capital gains, plus 10% of tax on existing capital gain is cancelled.

Deferred payment of existing capital gains, plus 15% of tax on existing capital gain is cancelled

15% cancellation of existing capital gains, plus investors pay no capital gains tax on the Opportunity Zone Investment.

Executive Summary

Management Team

Fund Opportunity

Investment Strategy

Case Study

II. Jump Ahead Fund Management

The Jump Ahead Fund, LP



Management Team

Arthur Lyons



Arthur Lyons



Arthur Lyons



Arthur Lyons



- Founder & Managing Director of Black Bridge Capital LLC, which oversees Bridge Grow Fund I and Bridge Grow Fund II
- Xyz
- Xyz
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Past performance is not indicative of future results and there can be no assurance that current or future investments will achieve comparable results or that historical deal flow levels will continue.



The Jump Ahead Fund, LP



Established Leadership

Experience

- Hands-on operator, that specializes in value add, distressed equity and infrastructure paid real estate projects.
- Proven expertise in analyzing deal flow and only purchasing the right assets
- Track record creating value in real estate assets the closely align with OZ opportunities.
- Offices in Salt Lake City, UT
- Our team screens thousands of assets; nothing is purchased without detailed underwriting that includes physical, financial and analytical due diligence
- Principals have combined over 30 years of finance, investment and real estate experience.
- Leaders have specific and specialized knowledge of the real estate markets they invest in and are experts in creating value through the acquisition and disposition process.



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III. THE OPPORTUNITY

WHY PURCHASE ASSETS IN OPPORTUNITY ZONES AHEAD OF OTHER FUNDS AND INVESTORS?

Market and Investment Opportunity

Illustrative Investment Example



An Investor purchased 5,000 shares of AMZN in late 2016 for \$750 per share. In late 2018 they decide to sell that stock on the market for \$1784 per share, at which time they realize a capital gain of approximately \$5.2 million. Instead of paying capital gains tax on \$5.2 million, the investor rolls over their money into a qualified opportunity fund investment and leaves it there for 10 years.



An investor sells AMZN stock in 2018 and receives a \$5.2 million capital gain



This \$5.2 million investment gain is invested in a Qualified Opportunity Fund within 180 days of selling the stock



The \$5.2 million investment gain appreciates to \$8.1 million by year 10 in the Qualified Opportunity Zone Fund

BENEFITS

TIMELINE

ACTUAL SAVINGS

Tax Deferral

Tax Reduction

Tax Elimination

Immediate

10% after 5 years
15% after 7 years

No tax paid on OZ Investment Gains

No taxes paid on \$5.2 million until 12/31/2026

Capital gains only due on \$1.45 million instead of \$5.2 million

No tax paid on \$5.2 million profit from OZ investment sale.



Market and Investment Opportunity

Why are OZ tax deferments so attractive to investors?



3 STEP PROCESS

1st FULL DEFERAL
of Recognized Capital Gains



2nd 10 to 15% REDEUCTION
of Capital Gains



3rd NO TAX
On Any Returns Made on OZ
Investment



REALIZED BENEFITS

- To defer the gain realized from the sale of an appreciated asset, an investor must reinvest the gains into a Qualified Opportunity Fund* within 180 days or 6 months of realizing the gain
- By reinvesting capital gains, an investor may defer capital gains tax until the 'Recognition Date' defined as the earlier of the date on which the investment is sold or December 26, 2026
- If the investor holds a QOZ investment for at least 5 years, then 10% of the deferred gain is permanently forgiven (tax paid on 90% of deferred capital gain)
- If the investor holds the QOZ investment for at least 7 years, then an additional 5% (total of 15%) of the deferred gain is permanently forgiven (tax paid on 85% of deferred capital gain)
- If an investor holds a QOZ investment for at least 10 years, then no tax is paid at all on any appreciation in the QOZ investment
- Note: This exclusion applies to the gains associated with the investment in the Opportunity Zone Fund, *not* the original gains

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Market and Investment Opportunity

The perfect storm

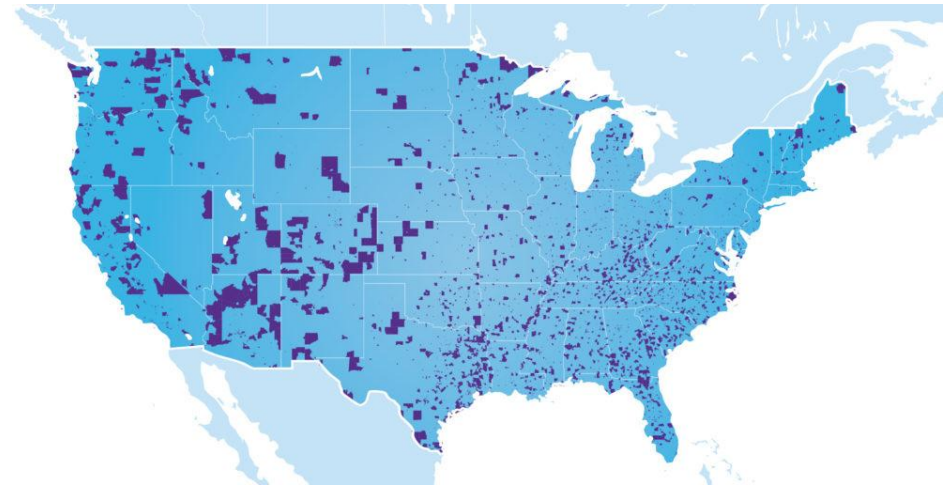


THE INVESTMENT DEMAND

U. S. investors currently hold \$2.3 trillion in unrealized capital gains, representing a significant untapped resource for economic development. Opportunity Funds will allow these investors throughout the country to deploy their resources as Opportunity Zone investments.

INVENTORY SHORTAGE

Qualified Opportunity Zones have been certified and are now available. Only areas that are **designated and certified** Opportunity Zones will qualify for Opportunity Zone tax deferral benefits.



TIME SENSITIVE

Qualified Opportunity Zones are time sensitive. Capital gains must be invested into Opportunity Zones within 6 months of being realized. Furthermore the last date to invest in an Opportunity Zone and realize the full 15% step up is December 31st, 2019. Most large institutional funds will not be deploying capital into Opportunity Zones until Q2 2019, making the next 6 months a perfect opportunity to acquire the best opportunity zone assets.

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Current Market Predictions



D TRUMP BRETT KAVANAUGH REWIND: TRUMP'S TAX BILL FEATURED: RISING

Mnuchin predicts \$100B in cap investment from new opportunity zones

TWEET SHARE MORE

A Window Of Opportunity: OZs Are Ripe For Real Estate Investing



David Amsterdam CommunityVoice
Forbes Real Estate Council CommunityVoice ⓘ
Real Estate

News

National Economic Development

Investors Lining Up To Pour Billions Into Opportunity Zones

October 4, 2018 | Jon Banister, Bisnow Washington, D.C. ✉

THE
WALL STREET
JOURNAL

MARKETS

Big Stock Windfall? New Rule Defers Taxes With Real Estate Investment

U.S. aiming to attract \$100 billion in development with 'opportunity zones' created by tax overhaul

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IV: Investment Strategy

The Jump Ahead Fund is a privately held private equity real estate investment management firm. Our principals are experts in purchasing value in every asset.

Investment Strategy



Our Investment Strategy is to Source Assets that fit within the parameters of what large OZ funds will look to purchase throughout 2019 as they place their OZ investments.

- I. New Construction projects that are permit ready
- II. Value Add multifamily, Office and Long Term care requiring significant capital upgrades
- III. New Construction projects that are close to permit ready
- IV. Distressed Equity
- V. Underserved or ignored assets that can benefit from rezoning



FUNDRISE



Qualifying OZ real estate investments must either be new construction or Substantially improved. The Substantial improvement clause requires that rehab costs during the 30 month period after the date of acquisition exceed the acquisition.

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Investment Strategy

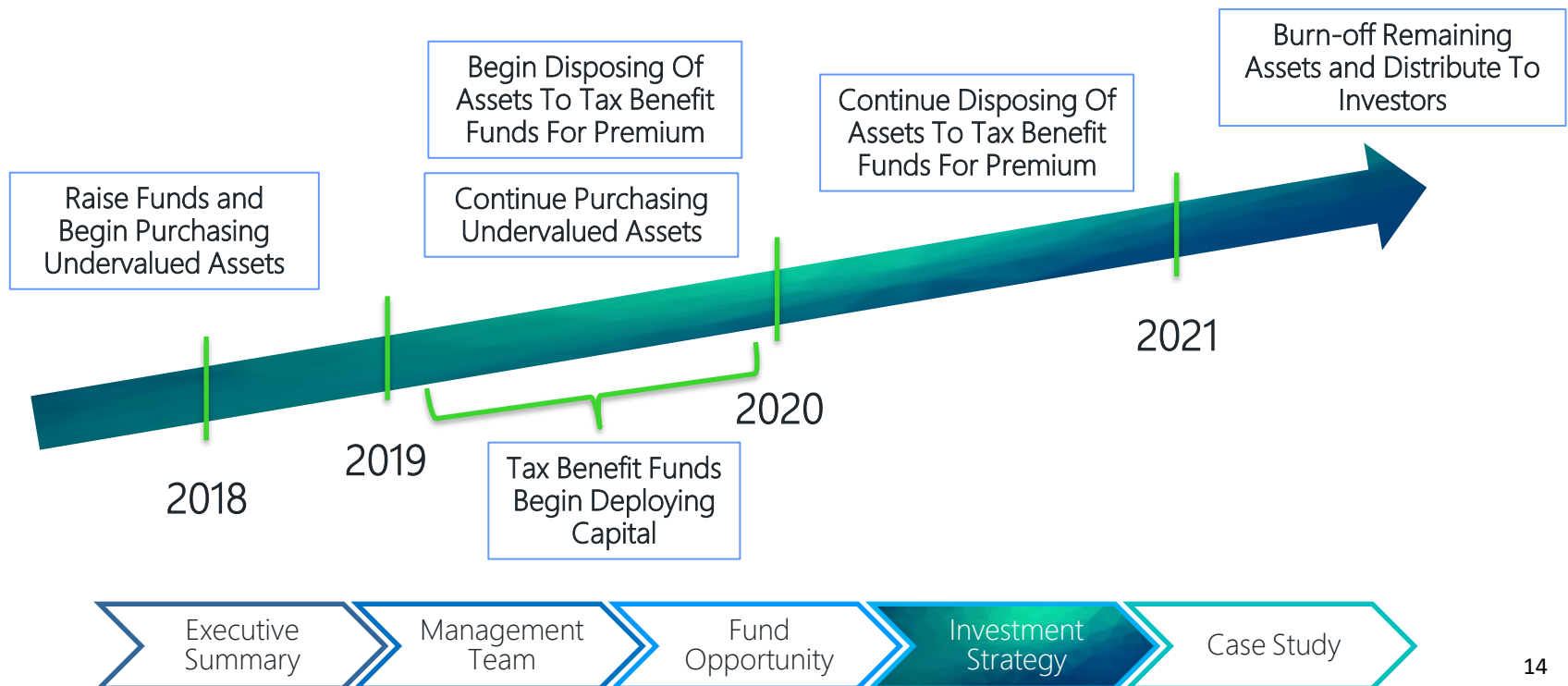


The Strength of the Jump Ahead Fund Team:

Be the First Mover to acquire assets in O Zones and repackage these assets that tax benefit funds will purchase at a premium.

Our Investment Strategy is to Source Assets That Fit Within the Parameters of What Tax Benefit OZ Funds Will Look To Purchase.

Most tax benefit funds will look to begin to acquire assets after Q2 of 2019 and hold them for 10 years to fully realize the tax benefits to their investors.



V. Case Study

Case Study: The Wells Fargo Building



Location	Ogden, UT		
Asset Size	80,000 Sq Ft	Gross Area (Acres)	1.26 acres
OZ Qualified	Yes	Acquisition Cost	2.75 million
Jump Ahead soft costs	\$250,000	2019 Post-Packaging Price	\$4,000,000
Hold Time	6 Months	Net Income/IRR	1mm/33%

Property Highlights

- 80,000 Sq Ft 12 Story building
- When built in 1926, it was the largest building between San Francisco and Chicago
- 18 foot ceilings on the 12th Floor
- Project ready, Jump Ahead will package and sell building in 2019 to a QOZ Fund with architectural, engineering, and construction bids in place.
- Purchasing QOZ Funds looking for permit ready OZ asset will be able to purchase this building and start construction much faster, thus increasing their IRR
- Main Level commercial, Jump Ahead will source tenant for QOZ Funds ahead of sale
- Floors 3-12 will be 55 multi family apartments
- Purchasing QOZ Fund will have added benefit of Historical Tax Credits available
- Purchasing QOZ Fund will have available to them local redevelopment funds at a low interest rate, sourced by Jump Ahead and packaged into the sale of the property



¹Prospective Investors should bear in mind that past performance is not necessarily indicative of future results and that Jump Ahead may not achieve its objectives and may achieve substantial losses.



Case Study: New Construction

Burton Ave, Salt Lake City Utah

Location	Salt Lake City, UT		
Asset Size	120 Units	Land Cost	\$2mm
OZ Qualified	Yes	Build Cost	\$19mm
Zoning	Complete	Project Cost	\$21mm
Jump Ahead Costs	\$250,000	Net Operating Income	1.2
Hold Time	6 Months	2019 Sales Price (5 Cap)	\$24mm



Property Highlights

- Shovel Ready Property
- 99,431 Sq Ft 6 Story Building
- 37 Studio Apartments
- 51 Single Bedroom Apartments
- 25 Two Bedroom Apartments
- Purchasing QOZ Fund will have added benefit of Historical Tax Credits available
- Purchasing QOZ Fund will have available to them local redevelopment funds at a low interest rate, sourced by Jump Ahead and packaged into the sale of the property
- With Plans, Engineering and Most Soft Costs Finished, it is a Perfect Fit for a Tax Benefit Opportunity Fund to Acquire and Develop to Deploy Their Capital.



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VI. Appendix

Jump Ahead Opportunity Zone Fund Key Terms¹



Partnership:	Jump Ahead Opportunity Fund LP
General Partner:	Black Brick Capital LLC
Partnership Size:	\$50 Million, although the General Partner reserves the right to accept aggregate Capital Commitments lower or up to \$100 Million
Minimum Commitment:	\$100,000 although lesser amounts may be accepted by the General Partner in its sole discretion
General Partner Commitment:	A minimum of \$250,000 of total Capital Commitments to the Partnership up to a maximum of \$10 million
Commitment Period	1 year from the date of the Initial Closing
Target Return:	[15-18]% net IRR
Term:	3 years from the date of the Final Closing (3 year investment period) with the General Partner having the right to extend the term for up to an additional 1 year period in the general Partner's sole discretion.
Offering Period	Three months after initial closing date, identified upon a minimum of \$25mm of subscriptions (including those of the General Partner and affiliates,) subject to extension for up to 3 additional months in the discretion of the GP.
Preferred Return:	[8]
Carried Interest:	[20%] from 11th to 24th percentile. [50%] 24th percentile and above
Catch-up:	[50/50] of 9th and 10th percentile
Management Fee:	2.0% per annum of the original Capital Contributions for a minimum of 3 years.

¹Please see the Fund's Confidential Private Placement Memorandum and limited partnership agreement for details.